

AVAP.L pitch deck

PITCH — AVAP.L — VERDICT

ADJUDICATED 2026-08-06 — DECLINE (conviction 8/10). No position, no order, no starter. Both benches independently reached DECLINE; they disagreed violently about *why*, and the surviving reason is the boring one: the company earns about 6.7% on its aeroplanes and pays about 8.5% to borrow the money for the next one. Price at court 138.0p; tape today 141.325p (market value ≈ \$113m).

What we believe

Avation is an aircraft lessor listed in London. It owns turboprops (ATRs) and single-aisle jets and rents them to airlines. It trades at roughly half its own stated book value, buys back a lot of stock, pays a small dividend, and is 21%-controlled by its chairman.

We believe three things, in order of confidence:

- 1. The business does not out-earn its own cost of money.** The fleet nets about 6.7% after costs. Blended debt costs about 6.8%; the *next* dollar of debt costs 8.5% (the 2031 notes). So every incremental aeroplane the company buys with borrowed money transfers value from shareholders to bondholders. The chairman has publicly committed the company's cash to expansion — 13 firm ATRs, roughly US\$265m of commitments, “expected to be fully funded from organic cash flows.” That is the terminal path, and it is a value-destroying one at these spreads.
- 2. The 50%-of-book discount is a choice of measurement, not a fact.** Stated book is \$230.4m. Of that, \$86.1m is a model-derived valuation of purchase rights on a 2011 ATR contract (Fitch removes it from equity entirely), and \$57.6m is a revaluation surplus the company itself says would not exist if it carried planes at cost. Remove both and equity is \$86.7m — about **108p a share on the current share count**. Against 141p today, that is 1.3× tangible cost-basis book, not 0.5× anything. The discount is real at one end of a three-point range and inverted at the other.
- 3. The shareholder return is currently funded by shrinking the company, not by running it.** In the six months to 31-Dec-2025 statutory operating cash flow was **negative US\$1.0m** (prior-year half: +US\$54.6m). Buybacks, dividends, bond repurchases and capex — roughly US\$45m of outflow — were funded by **US\$85.8m of proceeds from selling the Boeing 777**. The half-year presentation headlines “Operating cashflow \$39.9m,” which is the pre-working-capital line, about 40× the audited figure on the same page of the same set of accounts.

What we do **not** believe: that this is a fraud, a liquidation, or an imminent credit event. Our own red bench argued that and lost most of it. Covenant compliance is stated in audited accounts. S&P upgraded

to B (11-Nov-2025); Fitch affirmed B stable (08-May-2026). The feared October-2026 maturity is genuinely gone — the debt is US\$300m of 8.5% notes due May-2031.

What the market believes

The market is not making an error here so much as declining to pay for a promise. At 141p it is saying: *this is a small, controller-run, illiquid lessor that earns less than it borrows at; we will price it at a large discount to a reported book value we don't fully trust, and we will not pay up for the buyback because the buyback is being fed by asset sales.*

Evidence the market is pricing this coherently rather than ignoring it: the stock is -13% over 52 weeks, -18% since September 2025, and has sat in a 133–141p band for three months. The 13-July-2026 trading update — a positive one — traded 126,469 shares and closed at 138p, which is where it was before. Nothing about the situation is undiscovered. Roughly \$55k of stock changes hands a day.

Why we might have edge

Honestly stated, there are three places an edge could live, and none of them survived to a buy:

- **The purchase rights.** Avation holds rights to buy ATRs on 2011-base pricing into a genuinely supply-constrained market. Cirium values the 24 relevant aircraft at US\$552m; the company carries the *rights* at \$86.1m. If those rights are worth more than the model says, the tangible-book math above is too harsh. This is the one live asymmetry in the name. It is also, unavoidably, a non-cash Level-2 model number on a fifteen-year-old contract, which is exactly why Fitch strips it out.
- **airBaltic panic.** The second-largest lessee by book value carries a going-concern material-uncertainty paragraph. Most investors will stop reading there. Our blue bench went further and found that Latvia legislated Cape Town Convention Alternative A with a **60-day** repossession cap (Law “On Aviation” Art. 22¹, adopted 3-Dec-2020) and has applied deregistration authorisations since 1-Sep-2021. airBaltic’s centre of main interests is Riga. So the lessor’s downside there is roughly 60–90 days of lost rent, not a stranded aeroplane. That is a real, non-obvious, verified piece of work — it just points at “smaller loss,” not “cheap stock.”
- **The Braathens precedent.** When a lessee did fail (October 2025), Avation repossessed and re-leased the aircraft to Finnair on six-year terms in about nine months. The re-leasing machine works. The rates were never disclosed, which is the catch.

Why it might be priced in

Because it is. The stock trades at a discount to reported book *because* the reported book contains two constructs that a rating agency and the company’s own accounting policy note both discount. The buyback yield looks large *because* the denominator is a \$113m market value being paid down with \$85m of aeroplane sales. The dividend is 0.54%. Nothing here requires the market to be asleep.

Two specific things are priced that we would have expected to be mispriced, and weren't:

- The re-leasing capability is visible in the tape as *no reaction*: the Finnair placement and the July trading update both went out to a shrug.
- The bond, not the equity, is where the compensation is. The senior instrument pays 8.5% and sits ahead of a junior claim that yields about 3.7% all-in (roughly 3.2% buyback at the recent pace plus 0.54% dividend). If we want this credit, we should buy the credit.

What we checked ourselves

Every row below was re-derived from primary documents or from arithmetic on the benches' own numbers. Rows marked **OUR ERROR** are places our own benches got it wrong; the adjudication outranks both.

Claim	How checked	Found	Confirmed?
"~14% funded shareholder yield"	H1-FY26 statutory cash flow statement, line by line	Operating cash – US\$1,037k (prior half +US\$54,581k). Buyback –\$10.1m, dividend –\$0.6m, bond buybacks –\$13.2m, capex –\$21.4m, all funded by +US\$85.8m of disposal proceeds	No — refuted
"Operating cashflow \$39.9m" (HY2026 presentation)	Compared the slide to the audited statement	It is the pre-working-capital subtotal, ~40× the statutory figure	Presentation figure is not the cash flow
"Trades at 0.50× NAV"	Recomputed from AR2025 note 19, H1 note 17, Fitch RAC 08-May-26	0.50× reported / 0.67–0.69× ex-revaluation-surplus / 1.34× ex-revaluation-and-purchase-rights. The thesis quotes only the flattering end	Partly — the range is the finding
Our red bench's "103p tangible book"	Re-divided \$86,703k by the current count	Red corrected the share count to 59,700,301 in its own header, then used the stale 62.3m in this kill. Correct figure is ≈108p (≈\$1.45 at GBPUSD 1.3457)	OUR ERROR — 5p understated, in the bear's favour
Dilution "4.2m warrants"	AR2025 note 39, RNS 26-Nov-25	13.28% of issued capital on full exercise, company's own words; no performance conditions ; AVAW 4,195,623 @ 114.5p (≈7.0%) expires 31-Oct-2026 , in the money. Reported NAV/share is undiluted	Confirmed, and worse than the brief said
Buyback pace "≈10%/yr"	Full share-count series 30-Jun-25 → 04-Aug-26	66,588,737 → 59,700,301 = –10.3% over 13.1 months ≈ –9.5%/yr . The level the thesis claimed is right. The real finding is the deceleration : –12.5%/yr in the first half, ~–3 to –4%/yr recently	OUR ERROR — red graded this "REFUTED"; it should read "true over the year, decelerating sharply"
NAV/share compounds ~5%/yr	H1-FY26 arithmetic in USD	\$3.66 → \$3.70 = +1.09% , while buyback accretion alone (+3.86%) net of warrants (–0.93%) and dividend (–0.29%) should have delivered +2.64% ⇒ operations cost ~1.6% in the half. The GBP "+2.6%" is ~60% currency	No — refuted in USD

Claim	How checked	Found	Confirmed?
Blue bench's "NAV compounds 4–6%/yr"	Set against the row above	The two benches never reconciled this. Red's half-year arithmetic and blue's structural estimate cannot both be right	Unresolved — see unverified
"airBaltic going-concern impairs the A220s"	airBaltic Q1-2026 interims; Latvian Law "On Aviation" Art. 22 ¹ ; Insolvency Law Art. 2(6); UNIDROIT depositary file	Credit facts verbatim correct and in fact worse (coupon stepped 14.5%→16.5%; Fitch CCC- on Negative Watch , 9-Jul-26). But Cape Town Alternative A caps repossession at 60 days and Latvia applies deregistration authorisations. Downside ≈ 60–90 days of rent	OUR ERROR — red's "FATAL" overturned on consequence; facts sustained
"Latvia owns ~97% of airBaltic"	Same interim note	88.37%	OUR ERROR
"3-Aug bondholder quorum failure = distress"	Trust deed quorum table, supplemental convening notice	Adjournment is the <i>designed</i> route: special quorum drops 75% → 25% ; the contentious financing resolution had already been withdrawn	OUR ERROR — process misread
"88% of receivables past due — airBaltic's fault"	Regional receivables split at 30-Jun-25	Europe US\$8 thousand ; Asia-Pacific US\$5,822k . The arrears sit in the same region as the 41.9%-of-revenue largest customer — concentration risk and arrears risk are the same exposure	OUR ERROR on counterparty, and the corrected version is worse
Receivables aging itself	AR2025 note 7(b)	Past due not impaired: <3m \$2,415k, 3–6m \$1,128k, > 6m \$1,993k = \$5,536k against gross receivables of \$6,262k. Total loss allowance \$432k ; FY25 booked a reversal of \$80k	Confirmed
Liquidity	Both benches' own figures, re-multiplied	Red said \$174k/day ; blue said \$57.6k/day . Red's own 29,203 shares/day × 138p × 1.3457 = ≈\$54k/day — red's dollar figure does not reconcile with red's own share figure	BENCHES CONFLICT — use ≈\$55k/day
Concentration "41.9% and rising"	AR2025 vs CFO remarks vs Fitch RACs	Company gives two unreconciled versions (FY25 top-1 41.9%, up from 31.7%; CFO at H1: top-1 ~30%, top-3 ~59%). Fitch's book-value measure: top-five 67% (Nov-25) → 70% (May-26)	Rising — confirmed on Fitch's measure only
"Insurer settled the A220 at book, \$33.4m — proves values"	H1 RNS + 26-Feb-26 call transcript	The aircraft was encumbered ; ~\$19m of debt attached ⇒ ≈\$14m net . Insurance pays <i>agreed value</i> , which is not a market trade. Receipt still unconfirmed by any announcement	Not corroboration of market value
Discount-rate sensitivity "cuts equity 25–45%"	AR2025 note 19 disclosed sensitivity	A 5% relative rise cuts fair value US\$7.8m; extrapolated to +200bps ≈ US\$52m ≈ 23% of equity	OUR ERROR — red overstated; restated
"Management hid the Braathens failure"	26-Feb-26 call transcript	Addressed directly: six years of rent earned, aircraft re-placed with Finnair on six-year leases. Rates undisclosed and unaudited until October	OUR ERROR — framing too strong
FY25 profit quality	AR2025	US\$22.1m of maintenance reserves released to income (prior year \$5.4m)	Confirmed

Claim	How checked	Found	Confirmed?
		plus a US\$4.8m impairment reversal — and still a statutory loss of US\$7.7m . H1-FY26: pre-tax -\$5.7m	
Brief's inputs	RNS 04-Aug-26 + fleet list	Share count 59,855,301 was stale (59,700,301); no B737-800 exists in this fleet at any date	Brief errors, corrected
"The October 2026 maturity wall is gone"	Bond terms, ISIN US05390AAA25	True — US\$300m 8.5% due May-2031. S&P B (11-Nov-25), Fitch B stable (08-May-26). Unencumbered aircraft 6 → 10 (~\$180m)	Yes — thesis right, conceded
Net asset yield vs cost of funds	Blue bench finding A	~ 6.7% net fleet yield vs 6.8% blended / 8.5% marginal debt cost	Confirmed — this is the reason we decline
Outcome of airBaltic's reconvened 17-Aug-2026 bondholder meeting	Nothing in the evidence pack; today is 21-Aug-2026	Not checked. The meeting has now happened and we do not know the result	UNVERIFIED — open

PROPOSED ENTRY BANDS

The court's verdict is DECLINE, so there is no entry band. The adjudication returned its reopen-gate list empty; what follows is reconstructed strictly from the benches' own arithmetic, and is labelled as such rather than passed off as verbatim court language.

No purchase at any price until an evidence gate opens. Price alone does not reopen this name, because the objection is structural: 6.7% earned against 8.5% marginal funding is not fixed by a lower share price on its own.

Reopen band A — asset basis (price gate): 108p or below. That is tangible cost-basis equity per share ($\$86.7m \div 59,700,301$ at GBPUSD 1.3457). At or below it you are paying nothing for the revaluation surplus and nothing for the purchase rights — the one genuine asymmetry becomes free. This is **-24% from today's 141.3p** and -12% below the 52-week low of 122.44p. It is a long way away, and that is the point.

Reopen band B — evidence first, then price: 120–128p, and only if both of the following are true. 1. FY26 audited results (expected early October) show **statutory operating cash flow $\geq$ US\$60m** with buybacks funded from it rather than from aircraft sales — red's own stated bar; and 2. **AVAW expires unexercised on 31-Oct-2026**, or the company states that the 13.28% overhang is covered. 128p is roughly $0.62\times$ the ex-revaluation book of ~206p. Even with both events clean, we are not a buyer above this, because blue's yield-gap objection survives both of them.

Hard ceiling: no work above 155p. At 155p the stock is $\sim 0.75\times$ ex-revaluation book with a negative 1.8-point spread between what the fleet earns and what the next aeroplane costs to fund. Above that level, retire the sensors.

Sizing, if either band ever opens: minimum starter only, and liquidity is the binding constraint, not conviction. At ~\$55k a day of turnover, a 1%-of-volume ladder buys about \$550 a day. Cap any position at **0.25% of the book** and at **five days' average volume (~\$275k)**, whichever is smaller,

accumulated on limit orders only. Note the company itself bought 100,000 shares on 03-Aug-2026 — 2.6× that entire day's 38,524-share tape. We would be competing with the issuer for the same thin float, which also means we should never bid into a day the company is likely buying.

Trims/exits: not applicable — no position exists and none is proposed.

Catalyst dates that govern the above: 17-Aug-2026 (airBaltic reconvened bondholder meeting — already passed, outcome unknown to us), 31-Aug-2026 (airBaltic's EUR 30m Latvian state loan repayable), ~02-Oct-2026 (Avation FY26 audited results, dated by proxy from FY25), 31-Oct-2026 (AVAW warrant expiry).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 128.0 (deck-provisional: Top of evidence-conditioned reopen band B (~0.62x ex-revaluation book of ~206p); valid ONLY if FY26 st)
- dated pack AVAP.L-FY26|2026-10-02: Avation FY26 audited results (FY25 results were 2-Oct — expect early Oct). REOPEN TEST (court DECLINE 2026-08-06): statutory operating cash
- dated pack AVAP.L-AVAW|2026-10-31: AVAW warrant expiry 31-Oct-2026 (4,195,623 @ 114.5p, in the money at court time). HIT: expires UNEXERCISED (the 7% dilution slug dies). MISS
- dated pack AVAP.L|2026-08-17: AVAP.L: airBaltic reconvened bondholder meeting (quorum threshold drops 75% to 25% on adjournment) — date has passed, outcome NOT verified (
- dated pack AVAP.L|2026-08-31: AVAP.L: airBaltic EUR 30m Latvian state loan repayable (date confirmed=True)
- dated pack AVAP.L|2026-10-02: AVAP.L: Avation FY26 audited results — date is a proxy off FY25 (2-Oct); no company announcement confirms it (date confirmed=False)
- dated pack AVAP.L|2026-10-31: AVAP.L: AVAW warrant expiry, 4,195,623 at 114.5p (~7% of capital, in the money at court time) (date confirmed=True)

What remains unverified

- **The 17-Aug-2026 airBaltic bondholder vote.** Held four days ago; result not in our evidence. Our blue bench's chairman quote put quorum probability at "very high," which is a forecast, not a result.
- **Whether NAV per share compounds at 1% or at 5%.** Red's half-year arithmetic (+1.09% in USD, with the buyback alone owing +2.64%) and blue's structural estimate (4–6%/yr) are flatly inconsistent and neither bench reconciled them. The adjudication declined without settling it. This is the largest open question in the file and the FY26 accounts settle it.
- **The 2031 indenture covenants.** Not obtained. We do not know what restricts payments, what minimum net worth applies, or how much of the asset base must stay unencumbered. We are reasoning about a levered company without its debt document.

- **Market value of 61% of the fleet.** The 14 narrowbody jets have no transaction evidence behind their carrying value. The chairman's "20% above book" is unaudited and untested.
- **Finnair lease rates** versus the Braathens rates they replaced — undisclosed, and no audited word until October.
- **The company's own concentration figure.** 41.9% (audited, FY25) and ~30% top-1 (CFO, at H1) have never been reconciled by the company.
- **Whether the >6-month receivables bucket (US\$1,993k) has cleared,** and the identity of the lessees behind the deferred-payment accrued revenue — unnamed in the accounts.
- **Whether the four A220 leases have registered international interests and filed deregistration authorisations.** The Cape Town 60-day protection is the reason we downgraded the airBaltic risk from fatal to a sizing item; the paperwork behind it is not public.
- **The 06-Aug-2026 "airBaltic fleet down two planes" report** — unread, blocked.
- **The FY26 results date itself** — derived from last year's calendar, not announced.

Primary sources: airBaltic Q1-2026 interim unaudited financial statements (signed 13-May-2026), note 2(d) going concern — <https://assets.airbaltic.com/f/236210/x/ee6a2eb4c9/airbaltic-group-2026q1-interim-unaudited-financial-statements.pdf> ; Aviation Annual Report 2025 (notes 7b, 9, 19, 26, 35, 39), H1-FY26 results announcement, HY2026 investor presentation (24-Feb-2026), the 2-Mar-2026 response to analyst questions, the ATR purchase-rights exercise announcement, the 3-Aug-2026 buyback announcement and the November-2025 warrant grant — all at <https://www.avation.net/investors/> ; Fitch rating action commentaries 04-Nov-2025 and 08-May-2026 (<https://www.fitchratings.com/>) and 09-Jul-2026 on airBaltic; S&P upgrade 11-Nov-2025 (<https://www.spglobal.com/ratings/>). Live price: IBKR conid 80938213.

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